

Finance Function

Kushal Parwani

Financial Environment

Financial Markets

Capital market vs Money market
Primary market vs Secondary market

Financial Institutions

Banks, Investment companies, Insurance
companies, Pension Funds

Financial Instruments

Equity Instruments, Debt Instruments,
Derivatives

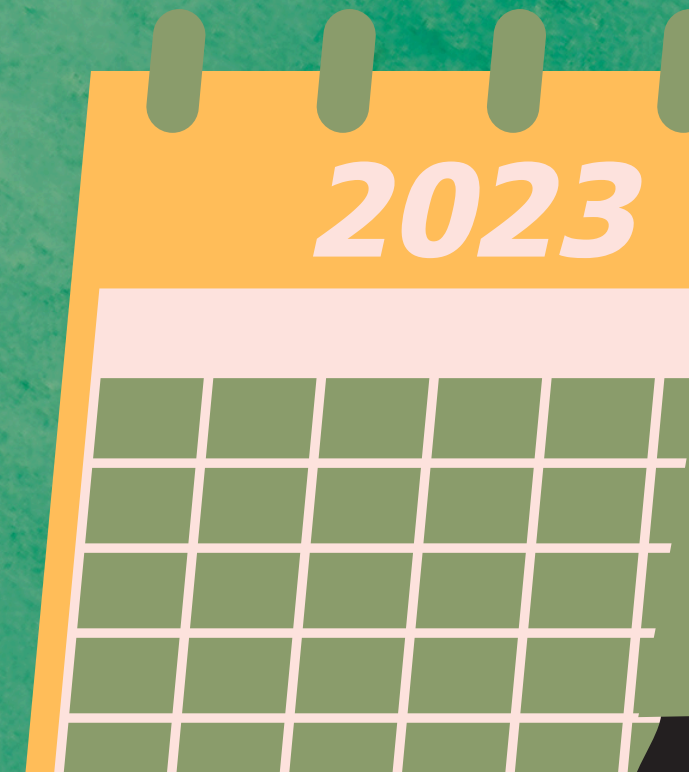
Regulatory Framework

Government Regulations (SEBI, SEC), Central
Banks (RBI, Federal Reserve)

Financial Management

**Efficient and effective management of money
to accomplish the objectives of the
organization.**

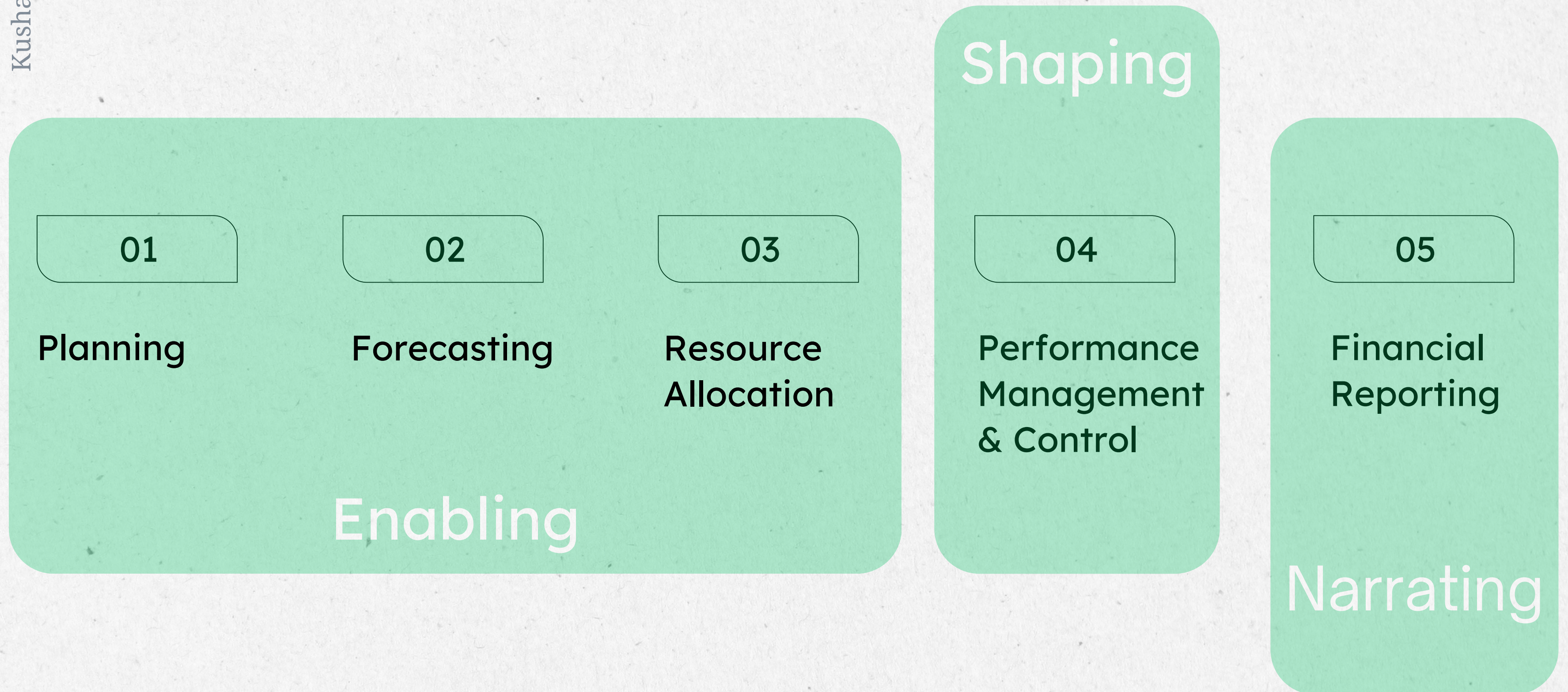
Kushal Parwani



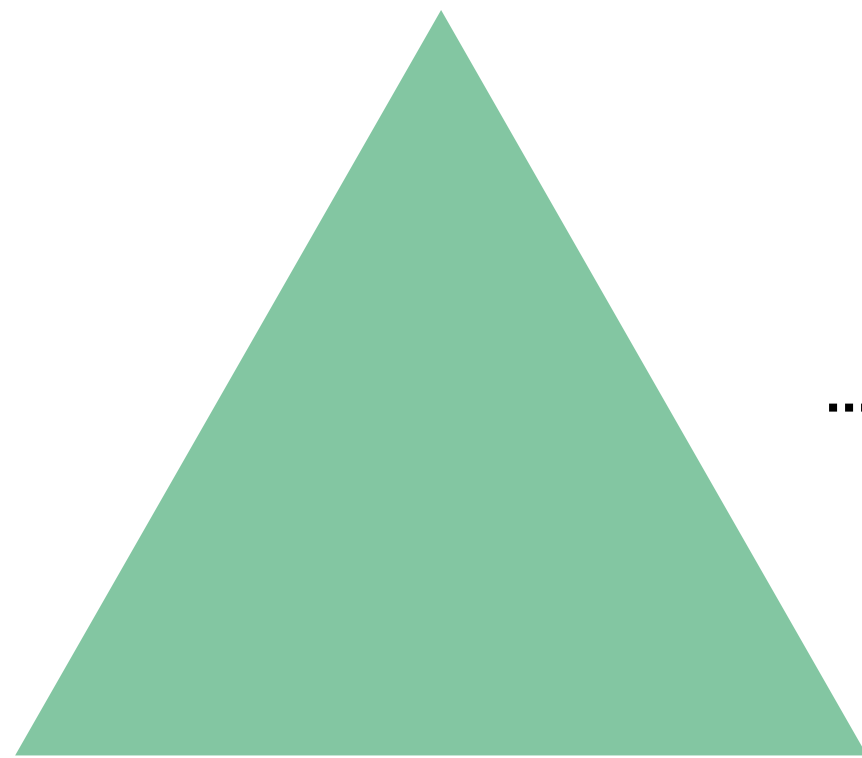
BUDGET



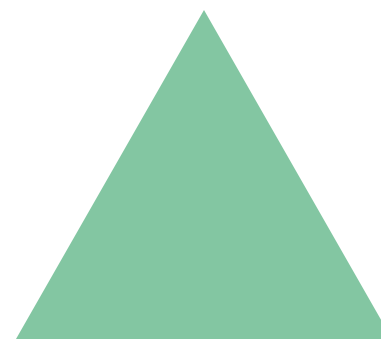
Roles of Finance Function



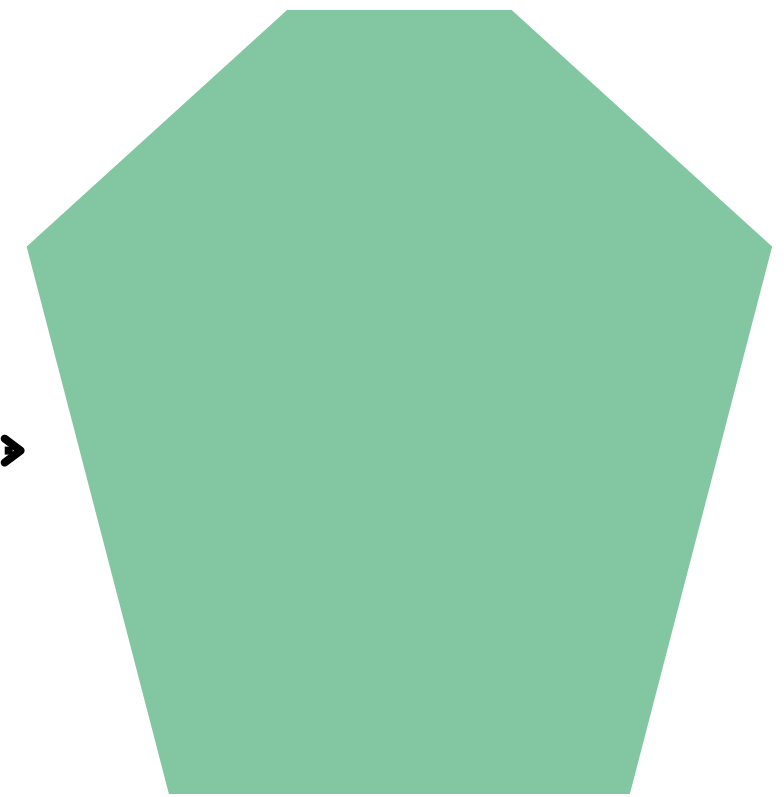
Shape of the Finance Function



Hierarchical

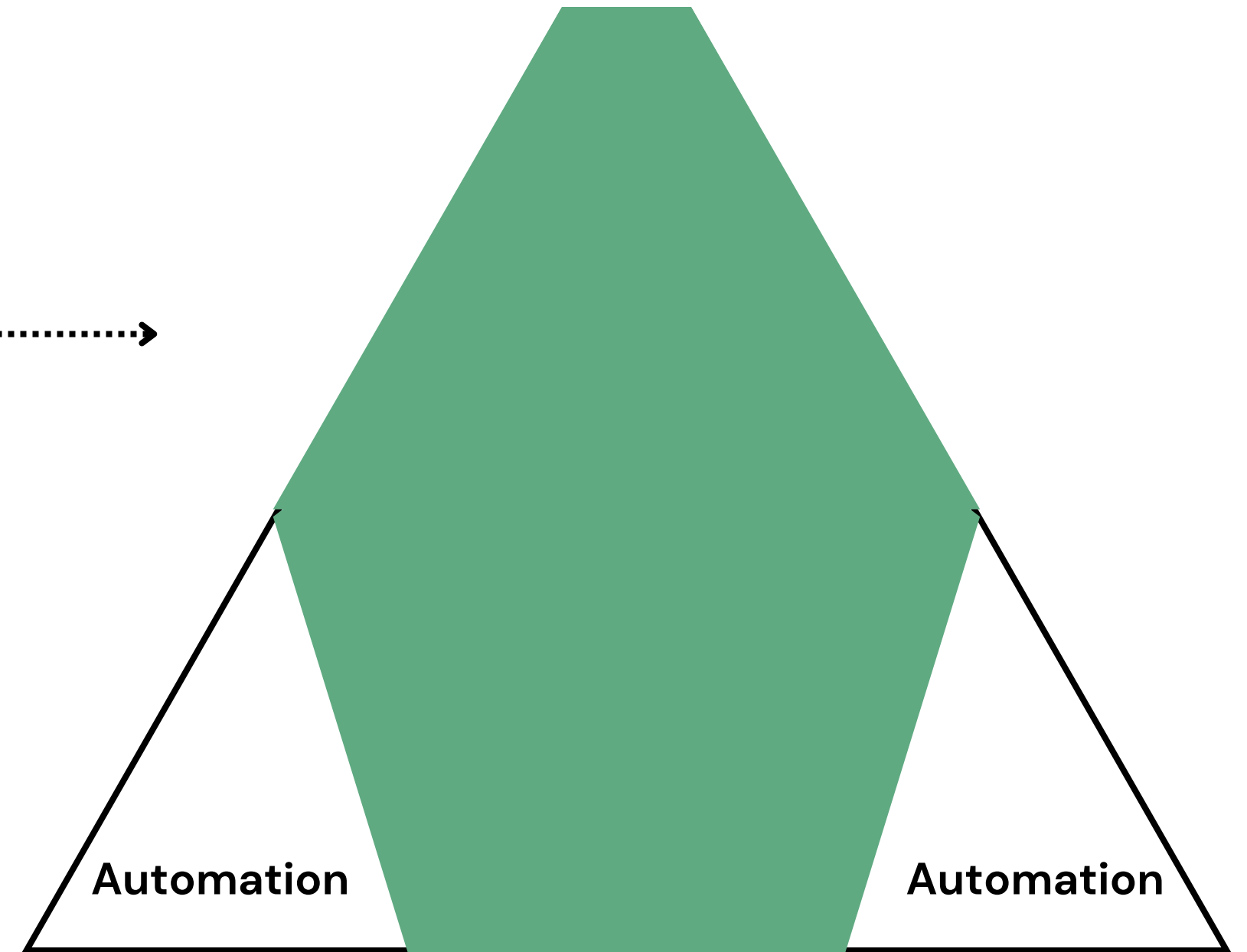
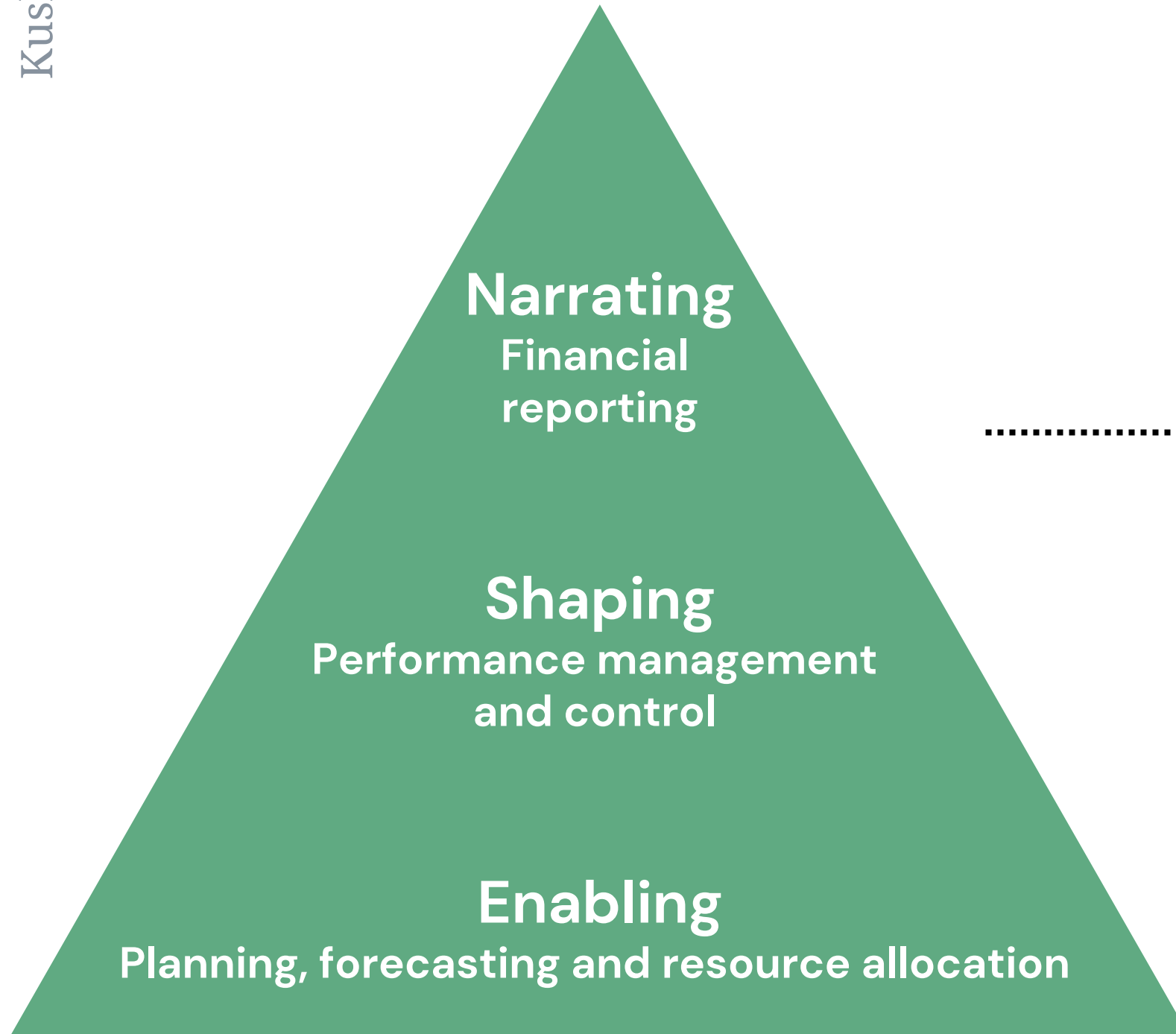


Segregated



Digital Age

Diamond Shape



Time Value of Money (TVM)

Components / Elements of TVM

Present value (PV)

Discounting

Future value (FV)

Compounding

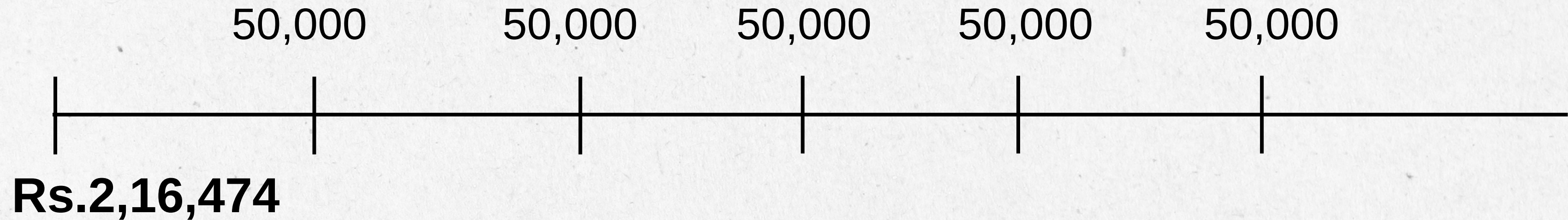
Periodic payment (PMT)

Annuity

Number of periods

Interest rate

Assume that you want Rs.50,000 annuity payment at the end of every year for the next 5 years. How much should you invest if the rate of return is 5%.



Here, $PMT = 50000$

$r = 0.05$

$n = 5$

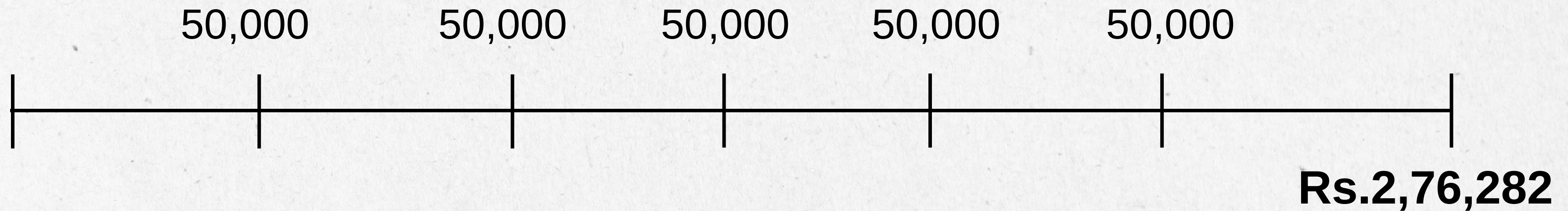
Present value of this annuity is:

Formula:

$$PV = PMT \times \frac{1 - \frac{1}{(1+r)^n}}{r}$$

$$PV = 2,16,474$$

Consider you are paying Rs.50,000 annuity payment at the end of every year for the next 5 years. What will be the FV if the rate of return is 5%?



Here, $PMT = 50000$

$r = 0.05$

$n = 5$

Future value of this annuity is:

Formula:

$$FV = PMT \times \frac{(1 + r)^n - 1}{r}$$

$$FV = 2,76,282$$

Fundamental Principles (Code of Ethics)



Integrity



Objectivity



Professional Competence



Confidentiality



Professional Behaviour

